

DEPRECIATION OF MOVEMENT OF CURRENCY

INTRODUCTION

1.  **Definition – Decline in the value of domestic currency compared to foreign currencies**
2.  **Causes – Inflation, trade deficits, political or economic instability, changing interest rates**
3.  **Impact – Increases import costs, supports exports, affects inflation and foreign investment**
4.  **Global Relevance – Reflects a nation's economic stability and trade competitiveness**

1. Rupee's Record Low – The Indian Rupee fell to an all-time low of 87.97 per US Dollar

2. Date of Drop – This fall occurred on Monday, April 22, 2024 (as per the newspaper date April 23, 2024)

3. Extent of Depreciation – The rupee has recorded a 4.24% year-on-year depreciation

4. Cause of Decline – The fall is linked to escalating US-India trade tensions, particularly tariff concerns

5. Market Impact – The depreciation raises issues for market access and overall trade relations

INDIA TODAY

NEW DELHI • TUESDAY, APRIL 23, 2024

www.indiatoday.in

RUPEE FALLS TO ALL-TIME LOW OF 87.97 AMID US TARIFF CONCERNS

4.24% YEAR-ON-YEAR DEPRECIATION



The rupee dropped to a record low of 87.97 against the US dollar on Monday, marking a 4.24% fall year-on-year. The depreciation comes as trade tensions with the United States are escalating over concerns about tariffs and market access.



1.The Indian rupee fell 61 paise to an all-time low of 88.19 per US dollar on August 29, 2025

2.This decline was mainly driven by heightened global trade tensions and market uncertainty

3.Additional pressure came from end-of-month dollar demand by importers and corporates

4.Persistent capital withdrawals by foreign institutional investors (FIIs) further deepened the fall

Times of India

Currency watch: Rupee plunges 61 paise to all-time low of 88.19 vs dollar. FIIs add to pressure

On August 39, 2025, the rupce closed at a historic low (€88.15) dur to heightened trade tensions, end-of month dollar dmand, and persistent capital withdrawals by foreign institutional investars.

Currency watch: Rupee plunges 61 paise to all-time low of 88.19 vs dollar: FIIs add to pressure

(Times of India)

On August 29, 2025, the rupee hit a allime low closing of 88.19 due to a trade tensions, month end dollar d-emand, and persistent capital withd.

(FO15)

1.The Indian rupee has hit a record low past 88 per US dollar due to steep 50% U.S. tariffs on Indian exports

2.This sharp depreciation reflects trade tensions and economic pressure on India's currency stability

3.The fall in rupee value increases import costs and inflationary risks, hurting businesses and consumers

4.India's central bank intervened in the forex market to stabilize the currency and prevent further decline



REUTERS

AUGUST 29, 2025

INDIAN RUPEE TUMBLES PAST 88 TO ALL-TIME LO ON US TARIFF HIT; CENTRAL BANK INTERVENES

Rupee plunges to lifetime low, breaching 88 per dollar during session, before ending at 88.1950 as US imposes steep 50% tariffs on Indian exports

Indian rupee has fallen to a historic low, at its peak—dollar surpassed further Friday's low on Tuesday, the rupee slumped to an unprecedented 88.3075 against the dollar, before partially recovering to settle at 88.1950

This plunge followed to impending Tuesday the U.S. tottering at 50% tariffs on amount of Indian goods.

Traders report India's central bank earlier intervened in the currency market to impose

1. Policy Stance – The Reserve Bank of India (RBI) may allow the rupee to weaken further

2. Reason – The move is aimed at countering the impact of new tariffs

3. RBI's Role – While permitting weakness, the RBI will still intervene to smooth extreme fluctuations

4. Risks Involved – This strategy carries risks such as inflationary pressures

5. Market Impact – Allowing depreciation could lead to greater market volatility

THE ECONOMIC TIMES

MUMBAI • WEDNESDAY, APRIL 24, 2044

www.economictimes.com

RUPEE MAY BE ALLOWED TO WEAKEN FURTHER AS RBI CUSHIONS THE BLOW

INTERVENTION TACTICS AND RISKS



The Reserve Bank of India may permit the rupee to weaken further to help counteract the impact of new tariffs, while stepping in to smooth extreme fluctuations. Such a strategy poses challenges, including potential inflationary pressures and market volatility.

1.The Indian rupee slumped to a record low of 85.31 per US dollar, triggered by heavy U.S. tariffs on Indian exports

2.A 550% tariff hike intensified trade tensions, putting pressure on India's currency stability

3.Month-end dollar demand and capital outflows by foreign investors worsened the depreciation

4.This sharp fall highlights global trade uncertainties and investor concerns over India's economy.

FINANCIAL TIMES

Indian rupee tumbles to new low on Trump tariff concerns



Rupee reached a record low of 85.31 against the US dollar—driven by a 550% on Indian exports. Desblic-robust tensions, month-end dollar demand, and persistent capital withdrawal by Foreign Institutional Investors.

(Reuters)

Financial Times

Indian rupee tumbles to new low on Trump tariff concerns

The rupee hit a record low of ₹89.31 against the U.S. dollar, driven by a 80% U.S. tariff on Indian exports. Despite strong GDP growth, pressure mounts on the currency, with expectations of ongoing depreciation,

CONCLUSION

1.Stability Concern – Continuous rupee depreciation signals economic vulnerability and impacts imports, inflation, and investor confidence

2. Trade Balance – High tariffs and global tensions worsen the trade deficit, demanding stronger export competitiveness

3. Policy Measures – India must strengthen forex reserves, manage inflation, and ensure prudent monetary policies to stabilize the rupee